

LIMURU TEA PLC

P. O. BOX 20-20200,
Kericho, Kenya
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ANNOUNCEMENT OF RESULTS FOR THE TWELVE MONTHS ENDED 31st DECEMBER 2020

The Board of Directors is pleased to announce the Company's results for the year ended 31st December 2020. The figures have been extracted from the Company's audited financial statements, which have received an unqualified audit opinion.

STATEMENT OF FINANCIAL POSITION		
	2020	2019
EQUITY	KShs'000	KShs'000
Share capital	24,000	24,000
Retained earnings	166,781	168,346
Proposed dividend	-	1,680
Total equity	190,781	194,026
Non-current liabilities		
Deferred income tax liability	4,849	10,306
Post-employment benefit obligations	14,417	14,667
	19,266	24,973
	210,047	218,999
REPRESENTED BY:		
Non-current assets		
Biological assets – fuel trees	3,576	3,168
Property and equipment	90,220	92,887
	93,796	96,055
Current assets		
Biological asset - green leaf	2,553	2,918
Current income tax recoverable	9,100	9,978
Receivables and prepayments	123,940	125,500
Cash and cash equivalents	307	1,219
	135,900	139,615
Current liabilities		
Payables and accrued expenses	19,649	16,671
	19,649	16,671
Net current assets	116,251	122,944
	210,047	218,999

CONDENSED STATEMENT OF CASH FLOWS		
	As at 31 Dec 2020 KShs'000	As at 31 Dec 2019 KShs'000
Net cash generated from/ (used in) operating activities	768	(1,091)
Net cash used in investing activities	-	(1,927)
Net cash used in financing activities	(1,680)	(2,400)
Decrease in cash and cash equivalents	(912)	(5,418)
Movement in cash and cash equivalents		
At start of year	1,219	6,637
Decrease in the year	(912)	(5,418)
As at 31 December	307	1,219

CONDENSED STATEMENT OF COMPREHENSIVE INCOME		
	2020 KShs'000	2019 KShs'000
Turnover	96,670	91,049
(Loss)/Profit before income tax	(7,898)	3,016
Income tax credit/(expense)	4,233	(1,116)
(Loss)/Profit attributable to the shareholders	(3,665)	1,900
Authorized, Issued and fully paid shares of KShs 10 each	2,400,000	2,400,000
Earnings per share (Kshs)	(1.53)	0.79
Total Dividends per share (Kshs)	-	0.7

	Share Capital KShs'000	Retained Earnings KShs'000	Proposed Dividend KShs'000	Total KShs'000
Balance at 1 January 2020	24,000	168,346	1,680	194,026
Profit for 2020	-	(3,665)	-	(3,665)
Charge to other comprehensive income (Actuarial gain net of tax)	-	2,100	-	2,100
Dividends				
-Final Paid For 2019	-	-	(1,680)	(1,680)
Balance as at 31 December 2020	24,000	166,781	-	190,781
Balance at 1 January 2019	24,000	166,726	2,400	193,126
Profit for 2019	-	1,900	-	1,900
Charge to other comprehensive income (Actuarial gain net of tax)	-	1,400	-	1,400
Dividends				
-Final Paid For 2018	-	-	(2,400)	(2,400)
- Proposed dividend for 2019		(1,680)	1,680	-
Balance as at 31 December 2019	24,000	168,346	1,680	194,026

The above extract is based on the financial statements of Limuru Tea PLC for the year ended 31 December 2020 as audited by KPMG Kenya upon which they issued an unqualified opinion and raised Key Audit Matters relating to assumptions and judgements used by the directors in the areas summarized below:

- a. Valuation of biological assets – determining fair values and fair value changes in biological assets held by the Company; and
- b. Assessment of and recognition of deferred tax asset arising from losses carried forward.

COMMENTARY

Performance

In 2020 the Company produced 3,882,430(2019 – 3,201,030) kilograms of green leaf, which in turn was manufactured into 844,103 (2019 – 719,409) kilograms of black tea. Green Leaf and black tea increased by 21% and 17% respectively in 2020. The increase is attributed to better weather conditions and yield improvement arising from the strategic investments done in the recent years to improve the low yielding fields through replanting of new clones to replace the old seedling fields.

The turnover increased by 6% to KShs 97 Million in 2020 from KShs 91 Million in 2019. This was driven by higher sales volume from increased production.

The Company posted a pre-tax loss of KShs 7.9 Million in the year ended 31st December 2020 compared to a KShs 3.0 Million pre-tax profit in the prior year. The decrease in the profits for the period is mainly due to the lower tea market prices that were realized in 2020 in the midst of rising cost of production and the impact of the COVID-19 Pandemic.

Dividend

The Directors do not recommend payment of dividend for the year ended 31st December 2020 (2019: KShs 0.70 dividend per share amounting to KShs 1,680,000).

Prospects

Whereas COVID-19 pandemic remains a concern, the Board and management have taken the necessary precautions to safeguard our staff and the interests of the business in 2021 and beyond. We continue to see yield improvement from the investment made in prior years. Cost management remains a key focus area in the wake of low market prices.

The management will continue with strategic initiatives to ensure any risks are mitigated in its continued focus to grow the business.

Board Changes



We are pleased to announce the appointment of Felix Mutai as an Executive Director to the Board of Limuru Tea Plc. in place of Florence Mitei Kirui who has resigned following an internal promotion with effect from 1st April 2021.

Felix Mutai is currently the Factory Manager of our Kericho and Tagabi Factories in Unilever Tea Kenya Limited- Kericho. Felix joined Unilever Tea Kenya Limited in 1998 as a Biochemist and has since then held various key management positions within our Supply Chain operations and Global R&D roles. The most recent roles he has held in Unilever Tea Kenya Limited were Operations Manager for our Kericho Operations Unit, Manager, Jamji Factory and Research and Development Manager.

Felix holds a Master of Business Administration (MBA) degree in Strategic Management from Moi University and a Bachelor of Science (BSc) in Biochemistry from The University of Nairobi where he

attained a First Class Honours. He is a Manager with over twenty years of management experience, five years in supply chain operations and fifteen years in research and development.

By Order of the Board

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Dr. Richard Korir
Chairman
26 March 2021